

Fixed Assets

Business Requirements Document (BRD)

DOCUMENT CONTROL

1.1. Change Record

Date	Author	Version	Change Reference

1.2. Reviewers

Name	Position

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1.2 Introduction

Purpose

This document presents the Business Process Document constructed for the financial system. The Business Process Model documents the triggering events that drive the business areas that are to be automated and describes the current business process that the business executes in response to each of those events as a set of one or more activities.

The key focus of this phase was as follows:

- Quick mapping of processes wherein the practices followed by **WUJHA DEVELOPMENT** are in line with SWAY Standards.
- Clearly identifying the High focus areas.
- Identification of process from the product that needs to be implemented **WUJHA DEVELOPMENT**

Key User should be able to visualize the product, get used to the flow, terms, and conventions, and hence be able to contribute much higher in the mapping and the training phases.

Objective

The objective of this document is to:

- Introduce leading Practices followed in terms of various Processes of SWAY Applications specific Fixed Assets.
- Capture Key requirements from the Process Owners.
- This document also represents the business processes as per SWAY standard business practice.

Scope

The complete SWAY Applications features related to the business processes identified during the High-Level Analysis (HLA) phase. These processes were refined in the course of the workshops based upon the discussions with the SWAY team and compared to the existing business of Operators thus identifying the future process that needs to be implemented and also the GAPS in process if any. The business processes mentioned in this document have been standard business process with the respective SWAY workgroups.

This document includes a listing of all the business processes discussed, detailed description of the involved process steps, either automated or manual, and supported by diagrammatic representations. The aim of this document is to consolidate all standard business processes.

How This Document is organized

This document contains Processes of Fixed Assets, which are Currently Handled by the workgroup within the Scope of this project.

- **The process listing and process description** table provides a name and description for each process within the Function. The table has the following columns
 - **Process ID:** An Id to denote each process.
 - **Process Title:** short description of the process.
 - **Description of the Process:** Detailed Description of the process.

- **The Process Flow Diagram** includes a diagrammatic representation of the process steps that form part of the business process.

One or more of the SWAY modules will cater to the Functional Areas. An Introduction for each of the modules catering to the Functional Area is included at the beginning of the Chapter relating to the Functional Area.

- **Process description:** This is the summary of the future processes developed and it has following sections.

- **The process steps descriptions** identify the process steps that form part of the business process. The table has the following columns
 - **Process Step ID:** Process Step Id
 - **Process Description:** Records the process step as clearly as possible.
 - **Step Type:** Manual means it's done outside the system, System assisted means step will be conducted within the system, System generated means it's a system-generated step and Decision means the action could be Yes or No.

2 IMPORTANT NOTES DEPEND ON ANALYSIS SESSIONS AND GENERAL NOTES:

Financials

Fixed Assets:

2.1 Asset's book

- The best practice to have two books, corporate book will handle the accounting depreciation and Tax book will handle the Tax depreciation.

2.2 Sequence

- Asset numbering will be automatically generated from the system and prevent the user to number any asset if necessary to add a number we can use any other standard or additional information field.

2.3 Depreciation and calendar

- Depreciation method is straight line method and depreciated on monthly basis.
- Depreciation calendar is twelve period.
- When you depreciate any month, the depreciation will be at the end of the current month for example depreciation amount for January will be at 31 Jan (prorate convention).
- Will create two different Minor categories for each FA item to differentiate between the G&A depreciation expense and COGS depreciation expense. for example (Laptop) will create two Minor categories first one with name (Laptop G&A) and will be associated with the G&A depreciation expense account, and second one will be associated with the COGS depreciation expense account.

2.4 Asset Retirement

- Will check for custom report to calculate the deferred Tax * 22.5% automatically after retire the assets and sale it (tax surplus).

2.5 Place in service

- The oldest asset place in service for **WUJHA DEVELOPMENT**.
- The oldest asset place in service for **SBC**.
- The oldest asset place in service for **ZAHA**.

2.6 Physical Inventory

- They will use physical inventory

2.7 The salvage values

- The salvage value will be received from WUJHA team at data collection sheets.

2.8 Intangible asset

- Intangible asset (software)

2.9 Fixed assets for WUJHA DEVELOPMENT

- The cycle begins from the quotation for the FA till transferring the payment to the vendor and the vendor send the invoice and deliver the asset
- The cycle starts from PR, PO then the invoice and deliver the FA.
- All standard reports for FA in SWAY show you financial information only but WUJHA want to track assets with more detail's information, so we can customize a custom report shows all needed information's.

3 WUJHA DEVELOPMENT STRUCTURE

3.1 WUJHA DEVELOPMENT Asset Categories Structure

No	*Segment	*Short Prompt	*Segment Number	*Display Width	Qualifier	Separator
1	Major Category	Main Category	Segment1	30	Major Category	-
2	Minor Category	Minor Category	Segment2	30	Minor Category	-

3.2 WUJHA DEVELOPMENT Asset Locations Structure

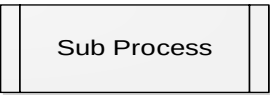
No	*Segment	*Short Prompt	*Segment Number	*Display Width	Qualifier	Separator
1	Company	Company	Segment1	30		-
2	City	City	Segment2	30		-
3	Building	Building	Segment3	30		-
4	Department	Department	Segment4	30		-
5	Floor	Floor	Segment5	30		-

3.3 WUJHA DEVELOPMENT Asset Key Structure

No	*Segment	*Short Prompt	*Segment Number	*Display Width	Segment Description	Separator
1	Future 1	Future 1	Segment1	30	An extra segment that can be used in the future in case if any new business requirements needed.	-

4 WUJHA DEVELOPMENT BUSINESS PROCESS

Process Symbols

	This symbol represents a group of steps or activities to perform
	This symbol represents a Decision. Decisions are typically phased as Yes / No Questions
	This symbol represents information input/output such as report or document. This symbol does not always imply hard copy, as some are verbal
	This symbol represents an offset page reference. Indicates a cross reference with another page of the flowchart
	This symbol represents start and end of the process

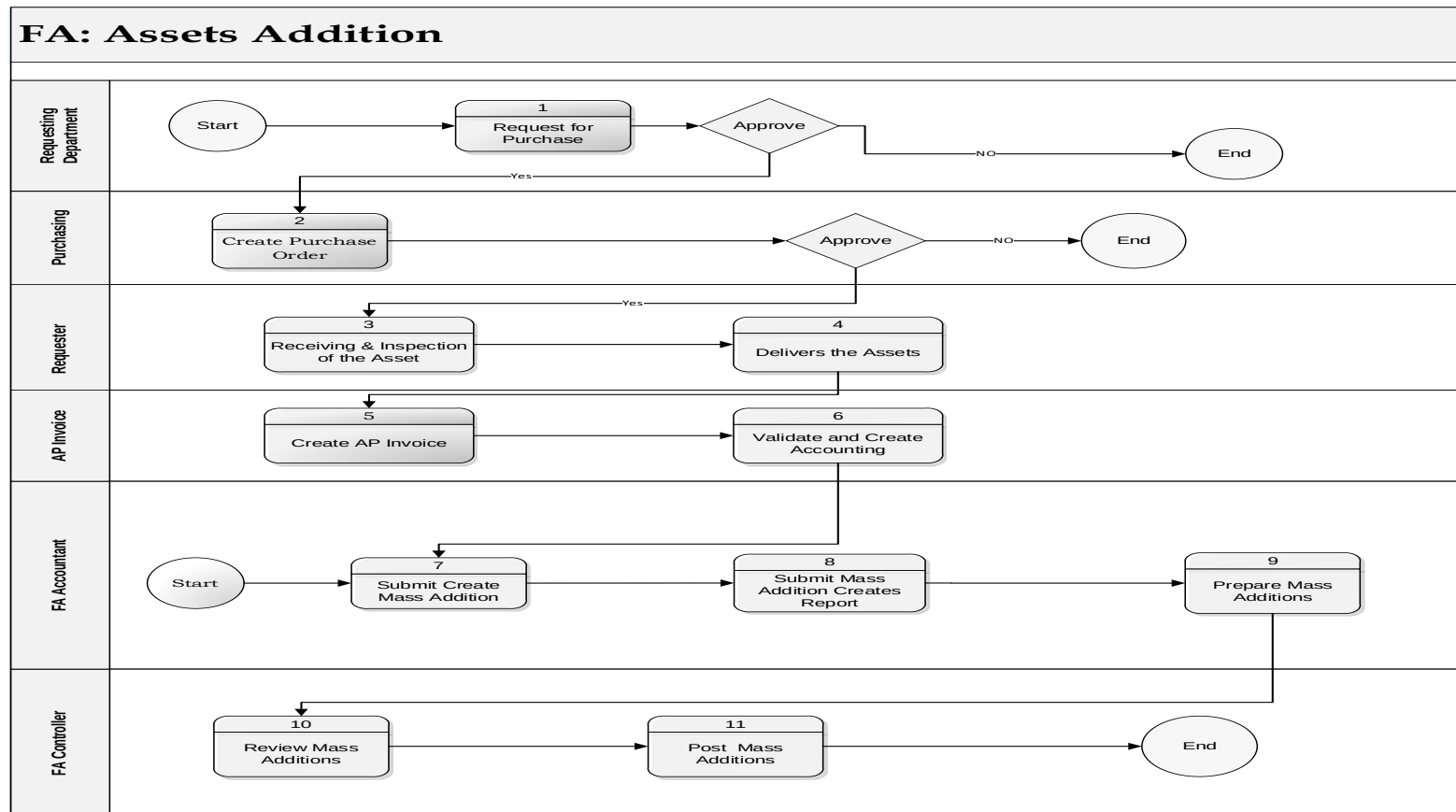
	This represents the Manual Operations. Manual Operations are all parts of process which are carried outside the SWAY System
	This Represent the steps of process that will be done throw custom extensions or SWAY Applications

SWAY Application Standard Process

Fixed Asset

4.1 Asset Addition

4.2 PROCESS FLOW DIAGRAM – Asset Addition



4.3 Process Details - Asset Addition

- In order to integrates the Payables with the Fixed Assets and to affect the General Ledger with the correct transaction registry.
- we have to transfer the Payables Fixed Assets purchases lines to the Fixed assets through the Accounts Payable mass addition process, after been submitted and transferred to the General Ledger to reflect its effects to the General Ledger Accounts and Financial Statements.
- We use the Post Mass Additions Assets program to create assets from mass addition lines in the POST queue using the data we entered in the Mass Additions window through the Accounts payables mass addition process. We can run this program as often as we want during a period.
- Asset purchases cycle will be started from Purchase Requisitions.

4.4 Process Steps - Asset Addition

Process Name	Performer	Automation	Description
Request for Purchase	Requesting Department	System	Request for Purchase
Create Purchase Order	Purchasing	System	Create Purchase Order
Receiving & Inspection of the Asset	Requester	System	Receiving & Inspection of the Asset
Receive Invoice	AP Accountant	Manual	Receive Asset Invoice with supporting documents from purchasing dept.
Enter Invoice in Payables	AP Accountant	System	Enter Audited Invoices on the System
Post Invoice to GL	AP Accountant	System	Post invoices to GL
Run Mass Addition Create	AP Accountant	System	Run Mass addition (to transfer AP invoices to FA)
Receive Asset invoice in FA	FA Accountant	Manual	Receive Asset invoice and supporting documents
Prepare Mass Addition	FA Accountant	System	Prepare Mass Addition (Define category, location, No. of units & Cost center ... Etc.)
Review Mass Addition	FA Accountant	System	Review Mass addition & select for posting
Post Mass Addition	FA Accountant	System	Post Mass addition to Assets

4.5 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Request and Approval	Request for Purchase	Requesting Department	Department Manager	Procurement Team	Management Team
	Approve Purchase Request	Department Manager	Management Team	Procurement Team	Requesting Department
	Create Purchase Order	Procurement Team	Procurement Manager	Requesting Department	Management Team
	Approve Purchase Order	Procurement Manager	Management Team	Requesting Department	Procurement Team
Asset Delivery and Inspection	Receive and Inspect Asset	Requester	Department Manager	Quality Control Team	Procurement Team
	Deliver the Asset	Requester	Department Manager	Requesting Department	Procurement Team
Accounts Payable Process	Create AP Invoice	AP Accountant	AP Manager	Procurement Team	Requesting Department
	Validate and Create Accounting	AP Accountant	AP Manager	Internal Auditor	Management Team
Asset Addition	Start Asset Addition Process	FA Accountant	FA Manager	Procurement Team	Management Team
	Submit Mass Addition Request	FA Accountant	FA Manager	Requesting Department	Management Team
	Generate Mass Addition Report	FA Accountant	FA Manager	Requesting Department	Management Team
	Prepare Mass Additions	FA Accountant	FA Manager	Internal Auditor	Management Team
Review and Finalization	Review Mass Additions	FA Control	FA Manager	Internal Auditor	Management Team
	Post Mass Additions	FA Control	FA Manager	Internal Auditor	Management Team
Process Completion	End Process	FA Control	FA Manager	None	Management Team

- **Responsible (R):** Executes the task.
- **Accountable (A):** Ensures the task is completed and owns the process.
- **Consulted (C):** Provides expertise or input during the task.
- **Informed (I):** Is updated about the progress or outcomes of the task.

4.6 Required Attributes

Stage	Step	Attributes	Description
Request and Approval	Request for Purchase	- Request ID - Request Date - Department ID - Asset Description	Tracks essential details of the purchase request, including its purpose and initiator.
	Approve Purchase Request	- Approval Status - Approver Name - Approval Date	Documents the approval of the purchase request.
	Create Purchase Order	- Purchase Order ID - Vendor Name - Asset Quantity - Expected Delivery Date	Details the purchase order's key information.
	Approve Purchase Order	- Purchase Order Approval Status - Approver Name - Approval Date	Confirms the approval of the generated purchase order.
Asset Delivery and Inspection	Receive and Inspect Asset	- Asset Serial Number - Inspection Date - Quality Check Status	Ensures the asset meets the purchase requirements.
	Deliver the Asset	- Delivery Date - Delivery Location - Recipient Name	Tracks the delivery details of the received asset.
Accounts Payable Process	Create AP Invoice	- Invoice ID - Invoice Date	Captures necessary invoice details for financial processing.

		- Vendor Details - Invoice Amount	
	Validate and Create Accounting	- Validation Status - Journal Entry ID - GL Account Codes	Ensures accounting entries are created for the asset acquisition.
Asset Addition	Start Asset Addition Process	- Process ID - Initiation Date - Asset Type	Tracks the initiation of the fixed asset addition process.
	Submit Mass Addition Request	- Request ID - Submission Date - Asset Details	Identifies the assets for mass addition in the system.
	Generate Mass Addition Report	- Report ID - Generated Date - Prepared By	Documents the preparation of the mass addition report.
	Prepare Mass Additions	- Asset Data Prepared Status - Preparation Date - Prepared By	Organizes asset data for final posting.
Review and Finalization	Review Mass Additions	- Review Status - Reviewer Name - Review Notes	Verifies the accuracy and completeness of the mass addition.
	Post Mass Additions	- Posting Status - Posted By - Posting Date	Finalizes the addition of assets into the fixed asset ledger.
Process Completion	End Process	- Process End Date - Final Remarks - Approval Confirmation	Marks the completion of the entire asset addition workflow.

4.7 Required Automation

Automation Process	Automation Description
Purchase Request Automation	Implement workflow tools to streamline the submission and approval of purchase requests for assets.
Purchase Order Automation	Use PO management automation to generate, approve, and track purchase orders efficiently.
Asset Delivery Tracking Automation	Deploy delivery tracking systems to monitor the receipt, inspection, and transfer of assets in real-time.
Invoice Automation	Utilize AP invoice automation tools to create and validate invoices automatically from purchase orders.
Accounting Entry Automation	Configure journal creation automation to generate accounting entries for the assets seamlessly.
Mass Addition Automation	Enable mass addition tools to automate the preparation, submission, and reporting of mass asset additions.
Mass Addition Review Automation	Deploy validation workflows to automate the review and validation of asset data before final posting.
Posting Automation	Use asset posting tools to finalize the posting of validated asset additions into the Fixed Asset ledger.
End-of-Process Automation	Set up workflow closure automation to document and log the successful completion of the asset addition process.

4.8 Journal entries – Asset Addition

AP Invoice Entry

DR/ Asset Clearing

CR/ AP Liability

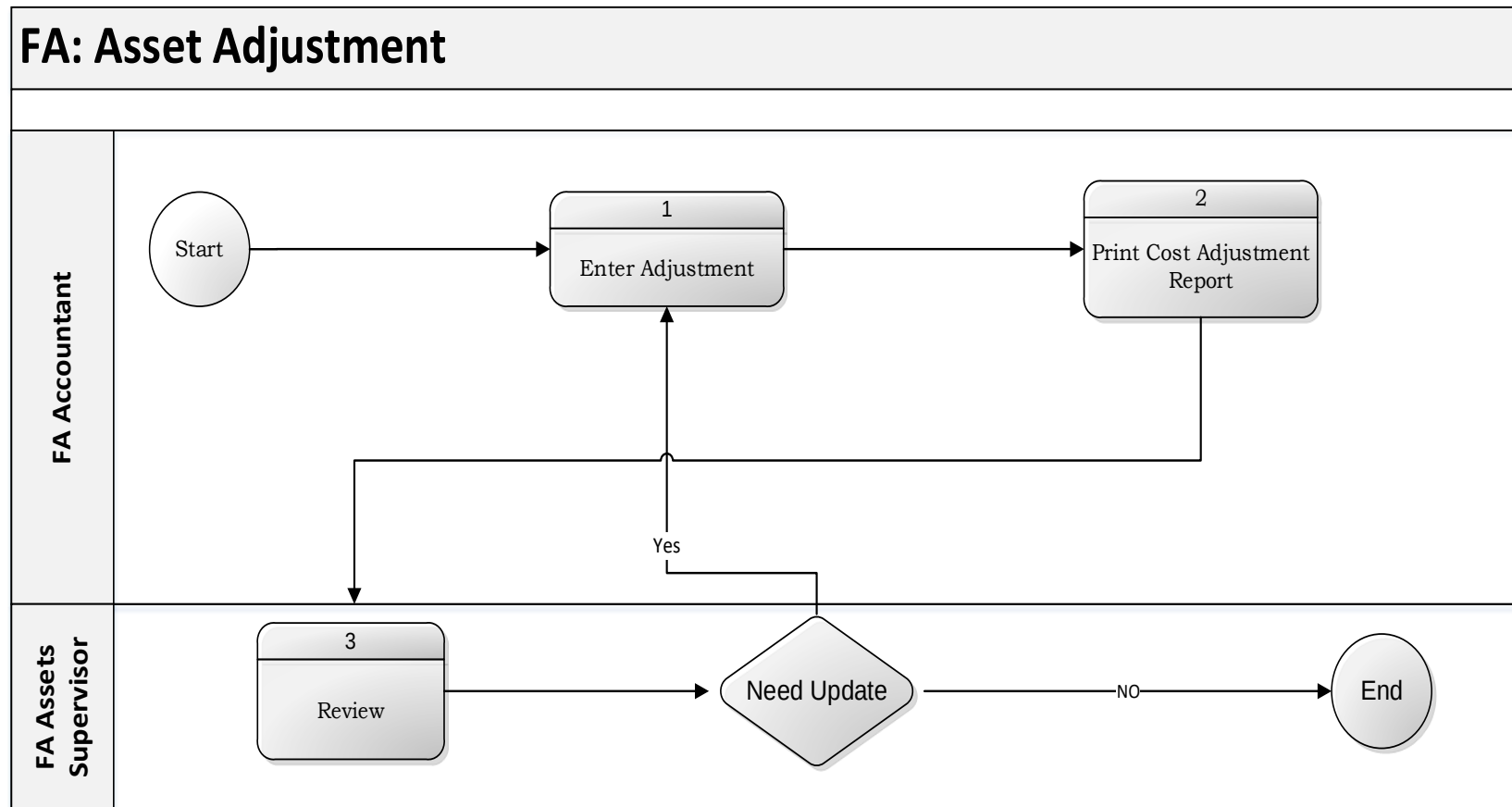
Asset Addition Journal

DR/ Asset Cost

Cr/ Asset Clearing

4.9 Asset Adjustment

4.10 PROCESS FLOW DIAGRAM – Asset Adjustment



4.11 Process Details - Asset Adjustment

- Asset adjustment is any adjustments or changes on the asset units, Asset cost, Asset life.
- These adjustments affect the assets and create General ledger adjustment entries according the adjustment method (expensed, amortized) associated to this asset category.

4.12 Process Steps – Asset Adjustment

Process Name	Performer	Automation	Description
Adjusting the concerned asset	FA Accountant	System Assisted	Adjust the concerned asset on the system according to the Adjusting Request form.
Submitting Assets Adjustment Report	FA Accountant	System Assisted	Printing Assets Adjustment Report
Review Reports	FA supervisor	Manual	Reviewing Asset Adjustment and Asset Addition Report
Approve Adjustment	FA supervisor	System Assisted	Reviewing Asset Adjustment and Asset Addition Report

4.13 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Adjustment Entry	Enter Adjustment	FA Accountant	FA Manager	FA Assets Supervisor	Management Team
Adjustment Documentation	Print Cost Adjustment Report	FA Accountant	FA Manager	FA Assets Supervisor	Management Team
Review and Validation	Review Adjustment	FA Assets Supervisor	FA Manager	FA Accountant	Management Team
Process Completion	End Process	FA Assets Supervisor	FA Manager	None	Management Team

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4.14 Required Attributes:

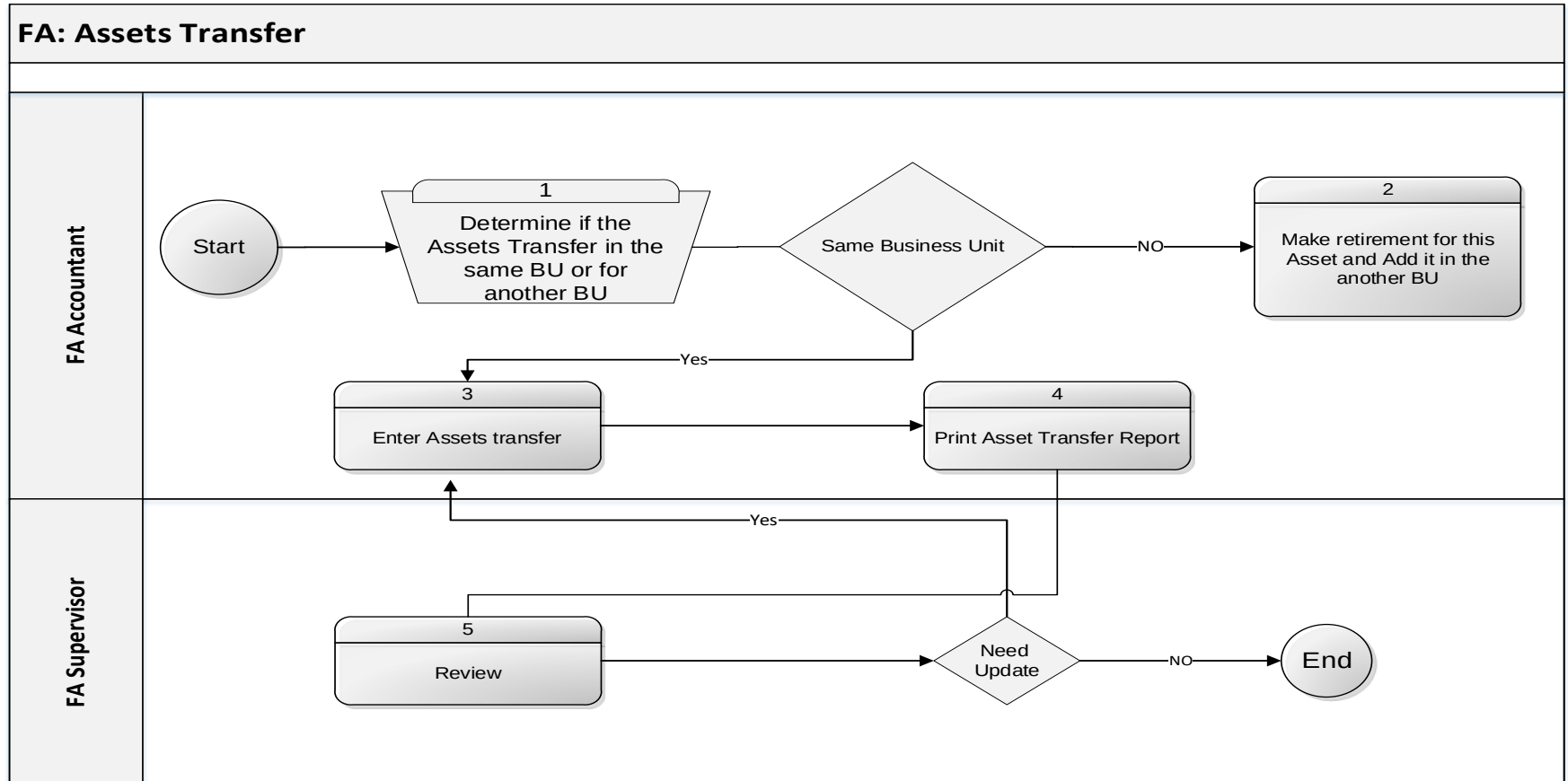
Stage	Step	Attributes	Description
Adjustment Entry	Enter Adjustment	- Adjustment Type - Adjustment Reason - Asset ID - Adjustment Date - Adjustment Amount	Captures all necessary details for initiating the asset adjustment.
Adjustment Documentation	Print Cost Adjustment Report	- Report ID - Generated Date - Adjusted Asset ID - Prepared By	Tracks and documents the adjustment details for review and audit purposes.
Review and Validation	Review Adjustment	- Review Status - Reviewer Name - Review Notes - Approval Date	Ensures the adjustment is validated and reviewed for accuracy.
Process Completion	End Process	- Completion Date - Final Approval - Closure Notes	Documents the successful completion of the adjustment process.

4.15 Required Automation

Automation Process	Automation Description
Adjustment Entry Automation	Use asset management tools to automate the entry of asset adjustment details, ensuring accuracy and efficiency.
Adjustment Documentation Automation	Deploy reporting tools to automatically generate and print cost adjustment reports for review and validation.
Adjustment Validation Workflow Automation	Set up validation workflows to automate the review and approval of asset adjustments, streamlining the feedback and correction loop.
Approval Tracking Automation	Utilize approval tracking systems to document and monitor approvals for asset adjustments, maintaining compliance.
Audit Trail Automation	Enable audit trail logging to automatically capture and store all activities related to asset adjustments for transparency and traceability.
End-of-Process Automation	Configure workflow closure tools to automatically log and finalize the completion of the adjustment process.

4.16 Asset Transfer

4.17 PROCESS FLOW DIAGRAM – Asset Transfer



4.18 Process Details - Asset Transfer

- This process covers asset transfers, The Transfer of assets can be processed between employees, depreciation expense accounts and the locations of the asset.
- We can transfer assets between Asset Categories.

When transferring assets, we should consider the following:

- We can change the transfer date to a date in a prior period for a particular transfer, but the transfer must occur within the current fiscal year
- We can change the transfer date of an asset to a prior period only once per asset.
- We cannot transfer an asset to a future period.

4.19 Process Steps – Asset Transfer (Reclassification)

Process Name	Performer	Automation	Description
Enter Asset reclassification	FA Accountant	System Assisted	Using Assets workbench form
Print Asset transfer report	FA Accountant	System Assisted	Print Asset transfer report
Review Asset reclassification	FA Supervisor	Manual	Using Asset Transfer Report
Update reclassification if needed	FA Supervisor	System Assisted	Update reclassification if needed

4.20 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Determine Transfer Type	Identify Transfer Type	FA Accountant	FA Manager	FA Assets Supervisor	Management Team
Process for Inter-BU Transfer	Retire Asset in Current BU	FA Accountant	FA Manager	Internal Auditor	Management Team
	Add Asset to New BU	FA Accountant	FA Manager	FA Assets Supervisor	Management Team
Process for Intra-BU Transfer	Enter Asset Transfer Details	FA Accountant	FA Manager	FA Assets Supervisor	Management Team
Documentation	Generate Asset Transfer Report	FA Accountant	FA Manager	Internal Auditor	Management Team
Review and Validation	Review Transfer Report	FA Assets Supervisor	FA Manager	FA Accountant	Management Team
Process Completion	End Process	FA Assets Supervisor	FA Manager	None	Management Team

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- **Consulted (C):** Provides expertise or input during the task.
- **Informed (I):** Is updated about the progress or outcomes of the task.

4.21 Required Attributes

Stage	Step	Attributes	Description
Determine Transfer Type	Identify Transfer Type	- Asset ID - Transfer Type (Intra-BU/Inter-BU) - Requested By - Request Date	Tracks the transfer initiation details and type classification.
Process for Inter-BU Transfer	Retire Asset in Current BU	- Asset ID - Retirement Reason - Retirement Date - Original BU Details	Captures details for retiring the asset in the original Business Unit.
	Add Asset to New BU	- Asset ID - Addition Date - New BU Details - Asset Location	Documents the addition of the retired asset to the target Business Unit.
Process for Intra-BU Transfer	Enter Asset Transfer Details	- Asset ID - Transfer Date - Transfer Location - Transferred By	Tracks the details for transferring assets within the same Business Unit.
Documentation	Generate Asset Transfer Report	- Report ID - Generated Date - Prepared By - Asset Details	Creates a formal record of the asset transfer for audit and tracking.
Review and Validation	Review Transfer Report	- Review Status - Reviewer Name - Review Notes - Approval Date	Ensures the transfer details are validated and finalized.
Process Completion	End Process	- Completion Date - Final Approval - Closure Remarks	Marks the conclusion of the asset transfer process.

4.22 Required Automation

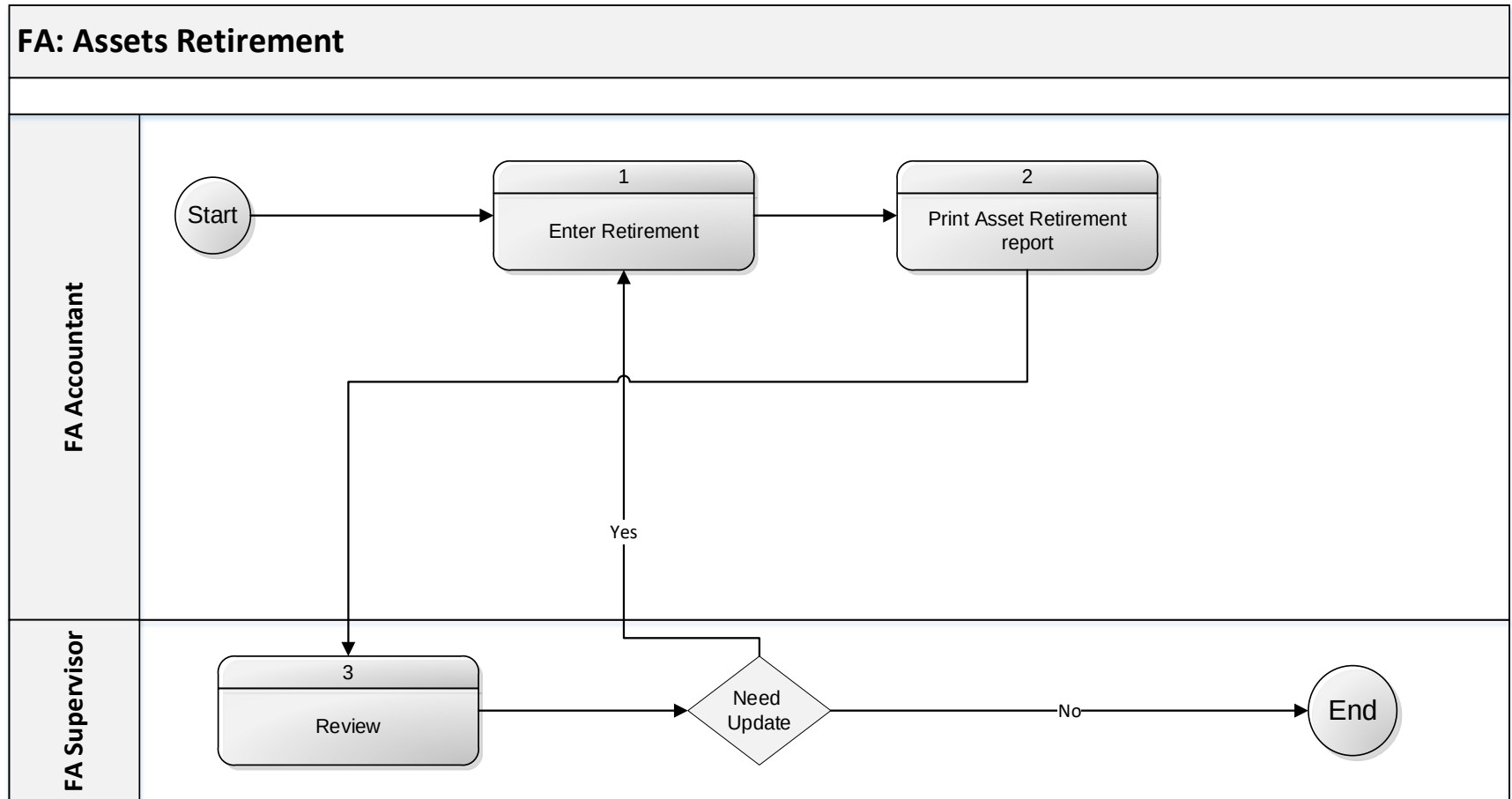
Automation Process	Automation Description
Transfer Type Determination Automation	Implement decision-support tools to automatically identify whether an asset transfer is intra-BU or inter-BU based on predefined criteria.
Retirement and Addition Automation	Use retirement and addition automation tools to seamlessly manage asset retirement in the current BU and re-addition to the new BU.
Asset Transfer Entry Automation	Deploy asset transfer workflows to streamline the entry of transfer details for intra-BU transfers.
Report Generation Automation	Utilize reporting tools to automatically generate and print detailed asset transfer reports for audit and compliance purposes.
Review and Validation Automation	Set up review workflows to automate the validation of asset transfer reports, ensuring accuracy and compliance.
Audit Trail Automation	Enable audit trail tracking systems to log all activities related to the asset transfer process for transparency and traceability.
End-of-Process Automation	Configure process closure workflows to automatically log and finalize the completion of asset transfers.

4.23 Journal entries - Asset Transfer (Reclassification)

- **After Press Run Reclassification Journal Will Be:**
DR/ Asset Cost (New Category)
CR/ Asset Cost (Old Category))
- **Depreciation Journals Will Be:**
DR/ Depreciation Expense (New Category)
DR/ Accumulated Depreciation (Old Category)
CR/ Accumulated Depreciation (New Category)

4.24 Asset Retirement

4.25 PROCESS FLOW DIAGRAM – Asset Retirement



4.26PROCESS DETAILS - Asset Retirement

Retire an asset when it is no longer in service. For example, retire an asset that was stolen, lost, or damaged, or that you sold or returned.

- Full and Partial Retirements by Units or Cost.
- You can retire an entire asset or you can partially retire an asset.
- When we retire an asset by units, SWAY Assets Automatic calculates the fraction of the cost retired.
- When we retire an asset by cost, the units remain unchanged and the cost retired is spread evenly among all assignment lines.

4.27PROCESS STEPS – Asset Retirement

Process Name	Performer	Automation	Description
Receive Asset Approved disposal form	FA Accountant	Manual	Receive Asset Approved disposal form from the department using the asset.
Enter Asset retirement	FA Accountant	System	Enter Asset retirement
Print Asset retirement report	FA Accountant	System	Print Asset retirement report
Review Asset retirement	FA Supervisor	System	Using Assets workbench form/ asset retirement report
Update retirement if any error	FA Accountant	System	Using Asset Retirement Report

4.28 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Initiation	Enter Retirement	FA Accountant	FA Manager	FA Supervisor	Management Team
Documentation	Print Asset Retirement Report	FA Accountant	FA Manager	Internal Auditor	Management Team
Review and Validation	Review Report	FA Supervisor	FA Manager	FA Accountant	Management Team
Process Completion	End Process	FA Supervisor	FA Manager	None	Management Team

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- **Consulted (C):** Provides expertise or input during the task.
- **Informed (I):** Is updated about the progress or outcomes of the task.

4.29 Required Attributes

Stage	Step	Attributes	Description
Initiation	Enter Retirement	- Asset ID - Retirement Reason - Retirement Date - Requested By - Asset Net Book Value (NBV)	Captures the key details required to initiate the asset retirement process.
Documentation	Print Asset Retirement Report	- Report ID - Generated Date - Retired Asset Details - Prepared By	Provides a comprehensive record of the retirement process for review and audit.
Review and Validation	Review Report	- Review Status - Reviewer Name	Ensures the accuracy and compliance of the retirement details.

		- Review Notes - Approval Date	
Process Completion	End Process	- Completion Date - Final Approval - Closure Remarks	Marks the successful conclusion of the asset retirement workflow.

4.30 Required Automation

Automation Process	Automation Description
Retirement Entry Automation	Asset management tools to automate the entry of asset retirement details, ensuring accurate and efficient data input.
Report Generation Automation	Utilize reporting tools to automatically generate and print asset retirement reports for documentation and audit purposes.
Validation Workflow Automation	Set up review workflows to automate the review and validation of asset retirement reports, streamlining the process and reducing errors.
Approval Tracking Automation	Approval tracking systems to document and monitor approvals for asset retirements, ensuring compliance with organizational policies.
Audit Trail Automation	Enable audit trail systems to automatically log and store all activities related to the retirement process for traceability.
End-of-Process Automation	Configure workflow closure tools to finalize and log the successful completion of the asset retirement process.

4.31 Journal Entry – Asset Retirement

Dr. Accumulated Depreciation

Dr. Proceeds of Sale Clearing

Dr. Cost of Removal Gain\Loss

Dr. Net book value retirement (Gain or loss)

Cr. Asset Cost

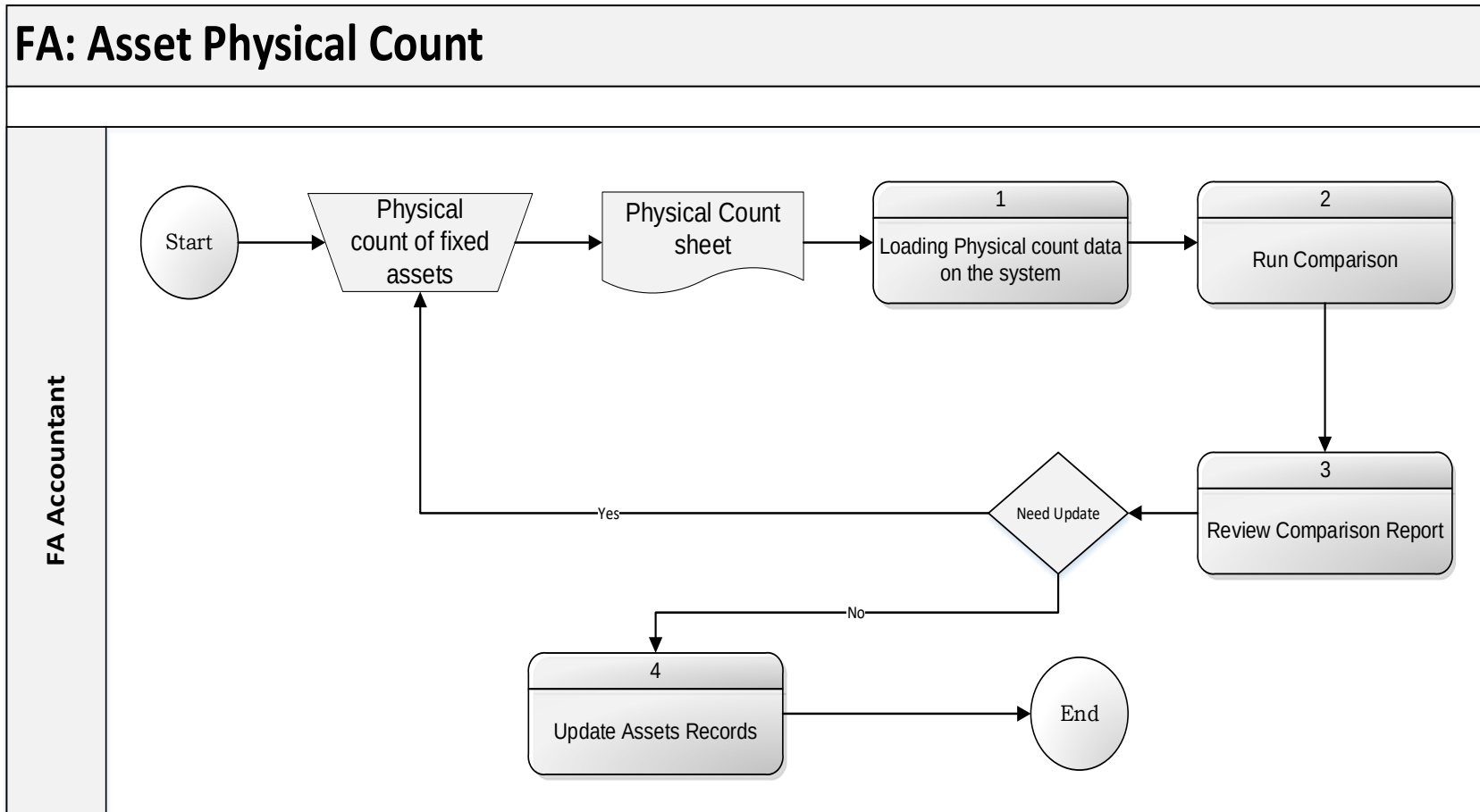
Cr. Cost of removal Clearing

Cr. Proceeds of Sale Gain\Loss

Cr. Net book value retirement (Gain or loss)

4.32 Asset Physical Count

4.33 PROCESS FLOW DIAGRAM – Asset Physical Count



4.34PROCESS DETAILS - Asset Physical Count

- Physical Inventory is the process of counting the assets in the company, then compare it to the assets register and create the appropriate adjustments in case of any discrepancies. Physical Count may be per location or per category. The physical count may not include some categories like land.

4.35PROCESS STEPS – Asset Physical Count

Process Name	Performer	Automation	Description
Physical Count of Asset	FA Accountant	Manual	Physical Count of Asset
Enter or upload Physical count data	FA Accountant	System	Enter or upload Physical count data
Run Comparison procedure	FA Accountant	System	Run Comparison procedure
Review Comparison report Results	FA Accountant	System	Review Comparison report Results
Make needed transactions	FA Accountant	System	Make needed transactions

4.36 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Physical Count and Data Recording	Perform Physical Count	FA Accountant	FA Manager	Internal Auditor	Management Team
Data Entry	Load Data to System	FA Accountant	FA Manager	System Administrator	Management Team
Comparison	Run Comparison	FA Accountant	FA Manager	Internal Auditor	Management Team
Review and Validation	Review Comparison Report	FA Accountant	FA Manager	Internal Auditor	Management Team
Updating Asset Records	Update Asset Records	FA Accountant	FA Manager	Internal Auditor	Management Team
Process Completion	End Process	FA Accountant	FA Manager	None	Management Team

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- **Informed (I):** Is updated about the progress or outcomes of the task.

4.37 Required Attributes

Stage	Step	Attributes	Description
Physical Count and Data Recording	Perform Physical Count	- Asset ID - Asset Location - Physical Count Date - Counted By - Asset Status	Records critical details during the physical count of assets.
Data Entry	Load Data to System	- System Upload ID - Data Upload Date - Uploaded By - Asset Count Data	Tracks the data entry process from the physical count sheets into the system.
Comparison	Run Comparison	- Comparison Report ID - Generated Date - Discrepancy Flag - Prepared By	Identifies discrepancies between the physical count data and the system records.
Review and Validation	Review Comparison Report	- Review Status - Reviewer Name - Review Notes - Approval Date	Ensures the comparison report is accurate and discrepancies are noted.
Updating Asset Records	Update Asset Records	- Updated Asset ID - Update Date - Updated By - Adjustment Details	Captures the changes made to align system records with physical count findings.
Process Completion	End Process	- Completion Date - Final Approval - Closure Remarks	Marks the successful conclusion of the asset physical count process.

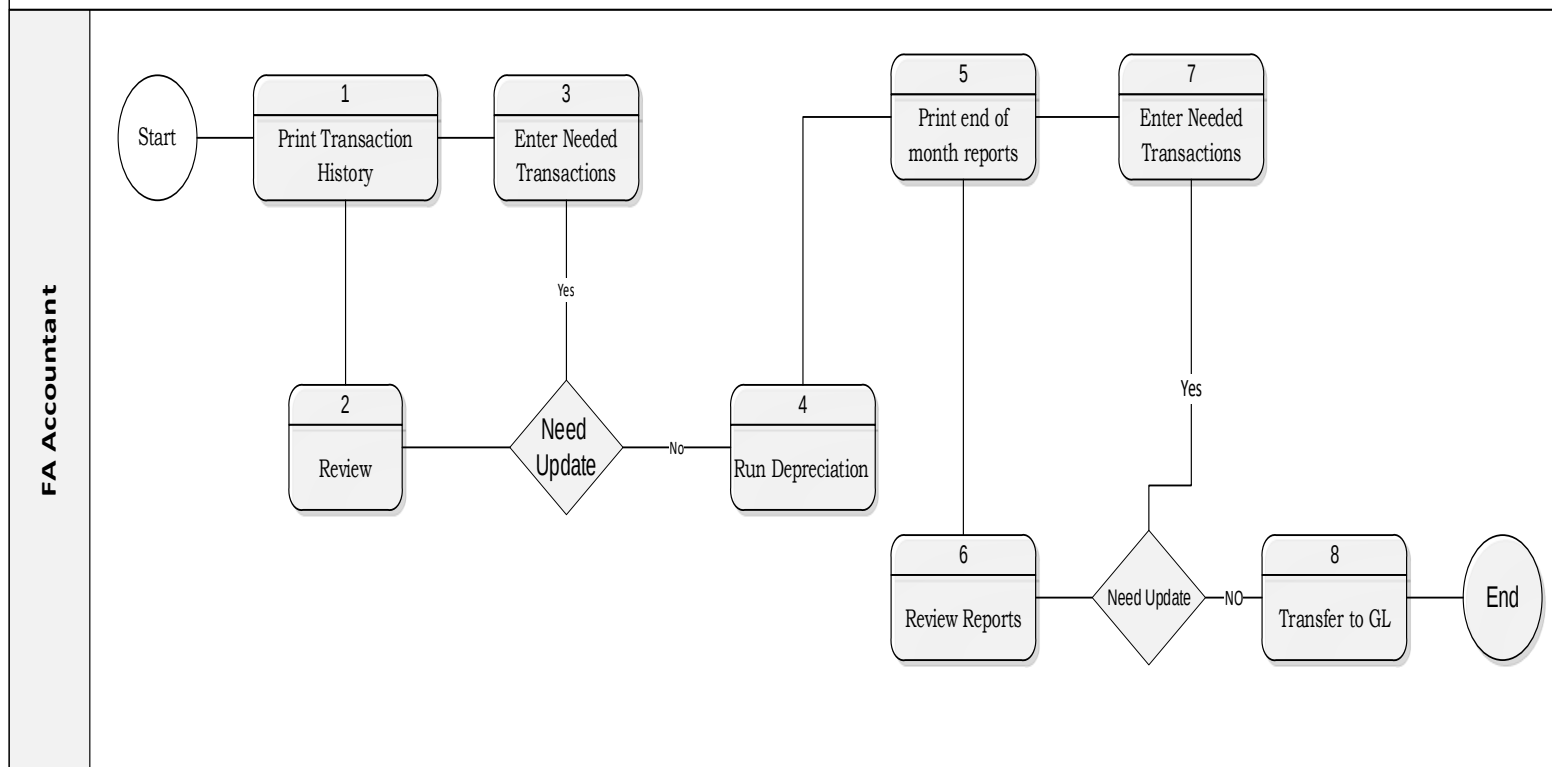
4.38 Required Automation

Automation Process	Automation Description
Data Upload Automation	Implement data integration systems to automatically load physical count data from the count sheet to the system.
Comparison Process Automation	Utilize comparison tools to automatically run a check between physical count data and system records, flagging discrepancies.
Report Review Automation	Deploy review workflows to automate the generation and validation of comparison reports for accuracy and compliance.
Asset Record Update Automation	Use record adjustment systems to automate updates to asset records based on the physical count findings.
Audit Trail Automation	Enable audit trail systems to log all activities during the physical count process for traceability and compliance.
End-of-Process Automation	Configure workflow closure tools to automatically log and finalize the completion of the asset physical count process.

4.39 Run Depreciation and Period Close

4.40 PROCESS FLOW DIAGRAM - Run Depreciation and Period Close

FA: End Of Month



4.41PROCESS DETAILS - Run Depreciation and Period Close

- On monthly basis, the depreciation has to be run to record depreciation expense and to reduce assets net book values.
- There are many methods to calculate depreciation amount the most common one, which will be used here, is the straight-line depreciation method.
- At the end of the month, the assets accounting period should be closed. Before closing the period, assets accounting entries should be transferred to the General Ledger. Unlike the General Ledger and the Payables Modules SWAY Assets could not re-open the closed period
- Depreciation will calculate in the same month from the asset's date in service.
- Depreciation will be calculated at the end of each month.

4.42 PROCESS STEPS - Run Depreciation and Period Close

Process Name	Performer	Automation	Description
Print month transaction history	FA Accountant	Manual	Make sure that all transactions related to the current month are on the system
review all month's transactions	FA Accountant	System	review all month's transactions
Make necessary updates	FA Accountant	System	Make necessary updates
Run Depreciation for the current month	FA Accountant	System	Run Depreciation for the current month
Print end of month reports	FA Accountant	System	Review all reports
Review the end month reports	FA Accountant	System	Review the end month reports
Make needed transactions	FA Accountant	System	Make needed transactions
Transfer Journals to the General Ledger	FA Accountant	System	Transfer Journals to the General Ledger

4.43 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Transaction Review	Print Transaction History	FA Accountant	FA Manager	Internal Auditor	Management Team
	Review Transactions	FA Accountant	FA Manager	Internal Auditor	Management Team
Data Correction	Enter Needed Transactions	FA Accountant	FA Manager	Internal Auditor	Management Team
Depreciation Execution	Run Depreciation	FA Accountant	FA Manager	Internal Auditor	Management Team
Reporting	Print End-of-Month Reports	FA Accountant	FA Manager	Internal Auditor	Management Team
Report Validation	Review Reports	FA Accountant	FA Manager	Internal Auditor	Management Team
Finalization	Transfer to General Ledger (GL)	FA Accountant	FA Manager	Internal Auditor	Management Team
	End Process	FA Accountant	FA Manager	None	Management Team

- **Responsible (R):** Executes the task.
- **Accountable (A):** Ensures the task is completed and owns the process.
- **Consulted (C):** Provides expertise or input during the task.
- **Informed (I):** Is updated about the progress or outcomes of the task.

4.44 Required Attributes

Stage	Step	Attributes	Description
Transaction Review	Print Transaction History	- Asset ID - Transaction ID - Transaction Date - Prepared By	Captures the details of asset-related transactions for review purposes.
	Review Transactions	- Review Status - Reviewer Name - Review Notes - Approval Date	Ensures accuracy and completeness of the transaction history.
Data Correction	Enter Needed Transactions	- Updated Transaction ID - Update Date - Updated By - Adjustment Details	Documents corrections made to transactions during the review phase.
Depreciation Execution	Run Depreciation	- Depreciation Method - Depreciation Amount - Calculation Date - Calculated By	Tracks the execution of depreciation for fixed assets.
Reporting	Print End-of-Month Reports	- Report ID - Generated Date - Prepared By - Report Type (e.g., summary, detailed)	Provides documentation of the month's activities and depreciation results.
Report Validation	Review Reports	- Review Status - Reviewer Name - Review Notes - Approval Date	Confirms the accuracy and compliance of end-of-month reports.

Finalization	Transfer to General Ledger (GL)	- GL Transfer ID - Transfer Date - Transferred By - Final Approval	Captures the finalized data submission to the General Ledger system.
	End Process	- Completion Date - Final Remarks - Approval Confirmation	Marks the conclusion of all end-of-month activities.

4.45 Required Automation

Automation Process	Automation Description
Transaction History Automation	Implement reporting tools to automatically generate and print transaction history for review.
Transaction Review Automation	Use data validation tools to identify discrepancies or missing entries in transaction records.
Transaction Entry Automation	Deploy workflow automation for entering and updating transactions to ensure data accuracy and efficiency.
Depreciation Calculation Automation	Utilize depreciation management systems to automate the monthly depreciation calculations for fixed assets.
Report Generation Automation	Implement reporting systems to generate detailed end-of-month reports, including transaction summaries and depreciation results.
Report Validation Automation	Deploy validation workflows to streamline the review of end-of-month reports, ensuring compliance and accuracy.
General Ledger Transfer Automation	Use integration tools to automatically transfer finalized end-of-month data to the General Ledger system.
Audit Trail Automation	Enable audit trail logging to capture and store all activities related to the month-end process for transparency and traceability.
End-of-Process Automation	Configure workflow closure systems to finalize and log the successful completion of the month-end process.

Approvals:

Approver 1

Approver 2
